

Course Outline
FAST School of Management
National University of Computer & Emerging Sciences Lahore Campus



Course:	Business Finance		
Course code:	AF2004	Year/Semester:	2 th / 4 th
Program:	BSAF	Units/Cr Hrs:	3 Cr Hrs
Department:	FAST School of Management, Lahore	Instructor:	Noor Zahid
Course Type:	Core Course	Email:	noor.zahid@hr.nu.edu.pk
Pre-Requisite(s):	None	Phone:	
Prepared By:	Cluster Coordinator (Finance)	Consultation Hours:	To be announced in class
Approved By:	Head of Department	Approval Date:	15 July 2024

COURSE DESCRIPTION

The purpose of this course is to introduce the student to basic principles of finance. These are the basic knowledge for either a career in corporate finance or further education in investments, real estate, banking, and insurance. It is also an excellent primer for non-finance majors wanting to familiarize with the world of finance. The primary goal of this course is to impart the knowledge to allow you to intelligently solve practical business problems. To achieve this goal, it is crucial that you have a sound understanding of finance theory. The course introduces analytical techniques for evaluating personal and business investment and financing decisions, including coverage of the context and environment in which these decisions are made. Students learn financial jargon and the basic concepts, principles, tools, and techniques of finance such as time value of money, risk and return, analysis of financial statements, securities valuation, and capital budgeting. The idea is to develop a broad appreciation of the field of finance and its role in corporate value maximization. Regardless of your chosen future specialization, this course will help you make personal financial decisions such as investing into the stock market or buying a house.

COURSE OBJECTIVES

Upon successful completion of the course, students should be able to:		Program Educational Objectives (PEOs)
1	Describe the major components of a financial system [i.e. Financial Institutions, Financial Markets, financial Instruments, Financial Services and Money] and how their operations affect financial and real assets.	2
2	Evaluate financial decisions using concepts and techniques of the time value of money and risk and return.	2,4
3	Understand the relationship of Risk and Return and be able to value bonds and equities.	2
4	Understand the modes of financing a business and their cost to business, incorporating ethical considerations in financial decisions.	2,3,5

COURSE LEARNING OUTCOMES (CLOs)

CLO#	Learning Outcome Statement	Program Learning Outcomes (PLOs)	Bloom's Taxonomy Level (BT)
CLO1	Should be able to describe the fundamental principles of financial management and the role of financial managers in achieving organizational objectives.	3	Understand
CLO2	Should be able to analyze financial statements to assess the financial health of a business and make informed investment decisions.	4	Analyze
CLO3	Should apply time value of money concepts to calculate the present and future values of various cash flows, and determine the value of bonds and stocks.	3	Apply
CLO4	Should be able to evaluate the risk-return profile of different investment options, including the benefits of diversification and the impact of market risk.	4	Evaluate
CLO5	Should be able to develop financial strategies for raising capital, including understanding the cost of capital and the impact of financing choices on a firm's financial performance.	5	Evaluate

LEARNING OUTCOME ASSESMENT STRATEGY

Assessment Tool	LO1	LO2	LO3	LO4	LO5
Quizzes	100	50	0	0	0
Assignments / Projects	0	0	0	0	0
Mid Term-I	0	0	50	0	0
Mid Term-II	0	0	0	50	0
Final Exam	0	50	50	50	100

* Percentages are meant to be viewed vertically.



COURSE CONTENTS

CLO/Session		Contents
CLO1	01	Introduction and Syllabus Discussion An Overview of Financial Management (Brigham/Houston, Chapter 1) - Identify the key financial decisions facing the financial manager of any business firm. - Explain why maximizing the current value of the firm's stock is the appropriate goal. - Explain the links between stock price, intrinsic value, and executive compensation - Discuss how agency conflicts affect the goal of maximizing stockholder value. - Explain why ethics is an appropriate topic in the study of corporate finance.
	02	Financial Markets and Institutions (Brigham/Houston, Chapter 2) - Identify the different types of financial markets and financial institutions and explain how these markets and institutions enhance capital allocation. - Explain how the stock market operates and list the distinctions between the different types of stock markets.
CLO1	03 - 07	Financial Statements, Cash Flow, and Taxes (Brigham/Houston, Chapter 3) - Explain the balance sheet, Income Statement and Understand the calculation of cash flows from operating, investing, and financing activities required in the statement of cash flows. - Describe common-size financial statements, explain why they are used, and be able to prepare and use them to analyze the historical performance of a firm. - List the five groups of ratios and identify, calculate, and interpret the key ratios in each group and discuss each ratio's relationship to the balance sheet and income statement. - Discuss why return on equity (ROE) is the key ratio under management's control and how the other ratios impact ROE and explain how to use the DuPont equation for improving ROE.
CLO2	08-10	Time Value of Money (Brigham/Houston, Chapter 5) - Explain how the time value of money works and discuss why it is such an important concept in finance. - Explain the concept of future value, including the meaning of the term's principal, simple interest, and compound interest, and use the future value formula to make business decisions. - Explain the concept of present value, how it relates to future value, and use the present value formula to make business decisions and discuss why the concept of compounding is not restricted to money. - Calculate the present value and future value of lump sums.
Mid-Term 1		
CLO1	11-14	Time Value of Money (Brigham/Houston, Chapter 5) - Identify the different types of annuities, calculate the present value and future value of both an ordinary annuity and an annuity due, growing annuity and calculate the relevant annuity payments. - Calculate the present value and future value of an uneven cash flow stream. - Discuss the basics of loan amortization and develop a loan amortization schedule.
CLO3	15-16	Interest Rates (Brigham/Houston, Chapter 6) - List the various factors that influence the cost of money. - Discuss how market interest rates are affected by borrowers' need for capital, expected inflation, different securities' risks, and securities' liquidity.
CLO4	17-19	Bonds and Their Valuation (Brigham/Houston, Chapter 7) - Identify the different features of corporate and government bonds and discuss how bond prices are determined in the market, what the relationship is between interest rates and bond prices. - Explain how to calculate the value of a bond and why bond prices vary negatively with interest rate movements. - Distinguish between a bond's coupon rate, yield to maturity, and effective annual yield and calculate a bond's yield to maturity and yield to call.
Mid-Term 2		
CLO5	21	Risk and Rates of Return (Brigham/Houston, Chapter 8) - Explain the relation between risk and return. - Describe the two components of a total holding period return and calculate this return for an asset. - Explain what an expected return is and calculate the expected return for an asset. - Explain what the standard deviation of returns is and calculate it for an asset. - Explain the concept of diversification.
CLO5	22-25	Risk and Rates of Return (Brigham/Houston, Chapter 8) and Stock Valuation (Chapter 9) - Explain the difference between stand-alone risk and risk in a portfolio context and how risk aversion affects a stock's required rate of return. - Describe what the CAPM is and illustrate how it can be used to estimate a stock's required rate of return. - List the key characteristics of preferred stock and describe how to estimate the value of preferred stock. - Describe how the general dividend-valuation model values a share of stock. - Discuss the assumptions that are necessary to make the general dividend-valuation model easier to use and use the model to compute the value of a firm's stock.

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CLO6	26 - 30	The Cost of Capital (Brigham/Houston, Chapter 10) Explain the different modes of Financing and Implications on Business for Various Modes of Financing. • Explain why the weighted average cost of capital (WACC) is used in capital budgeting. • Estimate the costs of capital components—debt, preferred stock, retained earnings, and common stock. • Combine the different component costs to determine the firm's WACC.
		Final Examination

*Reading assignments may be also scheduled in the sessions. Please be well-prepared.

** Sessions may also involve activities to enhance understanding.

INDIGENOUS MATERIAL USED		
S. No	Material /Activity	Associated Topic
1	Iqbal, Javed. (2008). Stock Market in Pakistan: An Overview. Journal of Emerging Market Finance. 11. 10.1177/097265271101100103.	<u>Stocks and Stock Markets</u>
2	Jawaid, Tehseen & Haq, Anwar. (2012). Effects of interest rate, exchange rate and their volatilities on stock prices: evidence from banking industry of Pakistan. Theoretical and Applied Economics. 19.	<u>Interest Rates</u>
3	HBR case: Hyundai's Fate in Pakistan	<u>WACC</u>

GRADING POLICY

Grading Mechanism	Weight
Announced/Surprise Quizzes	10%
Project	20%
Assignments	5%
Class Participation/Attendance	05%
Mid Term Exam 1	10%
Mid Term Exam 2	10%
Final Exam	40%

TEXTBOOK& REFERENCE MATERIAL

Textbook:

- Brigham, E.F.;Houston, J. F. (2017) Fundamentals of Financial Management, Concise Edition, 9thEdition: Cengage Learning.
- Parrino, R; Kidwell, D.S; Bates, T. W. (2014) Fundamentals of Corporate Finance 2nd Edition: Wiley.(*Use this book extensively to emphasize specific points, complementing Brigham/Houston's coverage of most topics.*).

Reference Books:

- Richard A. Brealey, Stewart C. Myers, Franklin Allen, Principles of Corporate Finance, 11th Edition, McGraw-Hill.
- Stephen A. Ross, Randolph W. Westerfield, and Bradford D. Jordan, Fundamentals of Corporate Finance, 10thed. McGraw-Hill

ADMINISTRATIVE INSTRUCTIONS

Missing Exams or Quizzes

There is no retake of quiz. In case of any serious issue, discuss it with instructor to arrange a retake.

Class Policies

- Please note that any exception for one student is unfair to all other students, so don't expect any.
- Please turn off and store away cell phones, Ipads, laptops, and other electronic devices.
- Talking during lecture is not permitted. It is disrespectful and disruptive to other class members and the instructor.
- If you miss a class, it is your responsibility to determine what was covered including any administrative announcements.

Studying

Effective study for this class involves three key stages. First, before each class, it is essential to read the relevant textbook chapters. During the class, active participation is encouraged, including following the lecture, taking notes, and asking questions. Finally, after each class, reviewing notes, solving end-of-chapter exercises, and reading the textbook is recommended. Tutorial sessions may also be scheduled periodically to address any queries related to the problems or practice sets.

Attendance Policy

As you can see, almost every other session is a different topic and as such missing the classes can result in huge setback for you as you will lose substantial course content by missing any class. Besides, owing to the interactive nature of the course, attendance is crucial. Therefore, only under unavoidable circumstances, student should think of missing a class. See university policy on minimum attendance allowed for final exams.

Scholastic Dishonesty

In the classroom and in all other academic activities, students are expected to uphold the highest standards of academic integrity. Any form of scholastic dishonesty is an affront to the pursuit of knowledge and jeopardizes the quality of the degree awarded to all graduates. Any student



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who commits an act of scholastic dishonesty is subject to discipline. Scholastic dishonesty includes, but is not limited to, cheating, plagiarism, collusion, the submission for credit of any work or materials that are attributable in whole or in part to another person, taking an examination for another person, any act designed to give unfair advantage to a student or the attempt to commit such acts. Students who violate these rules on scholastic dishonesty are subject to disciplinary penalties, including the possibility of failure in the course and/or dismissal from the University. Since dishonesty harms the individual, all students, and the integrity of the University, policies on scholastic dishonesty will be strictly and actively enforced.